

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

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Innovative Business Support & Promotion



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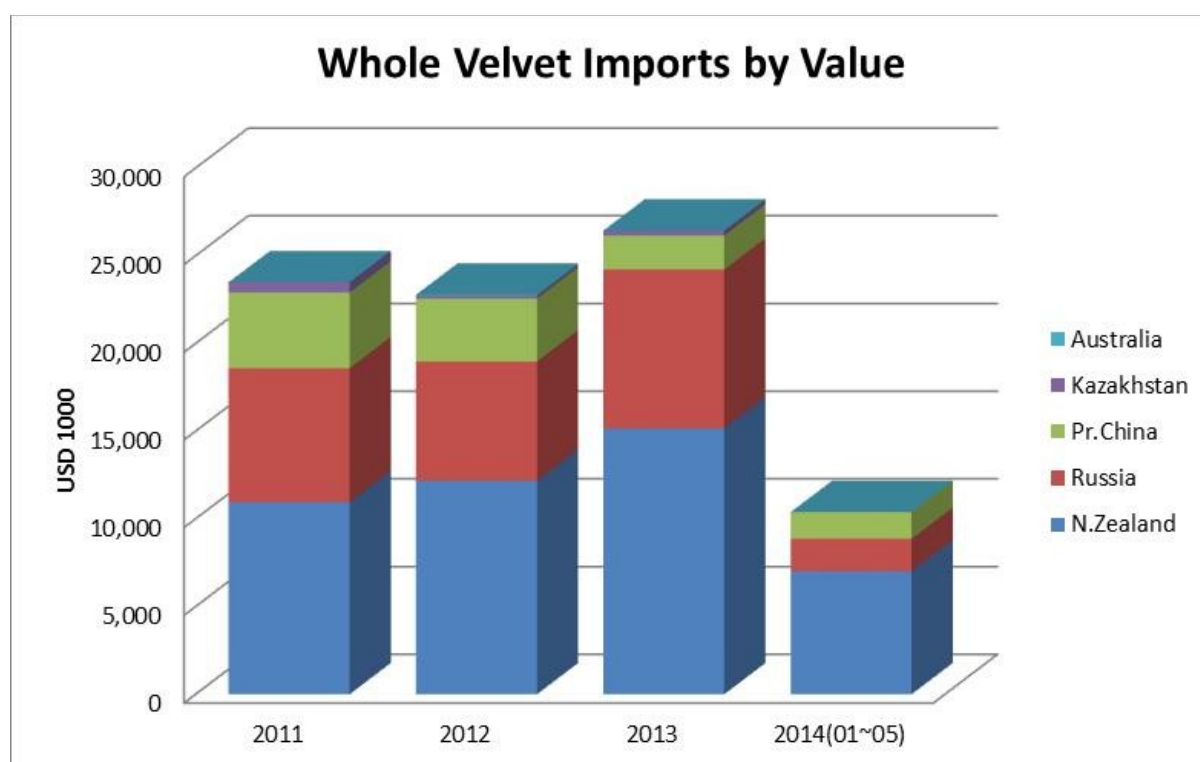
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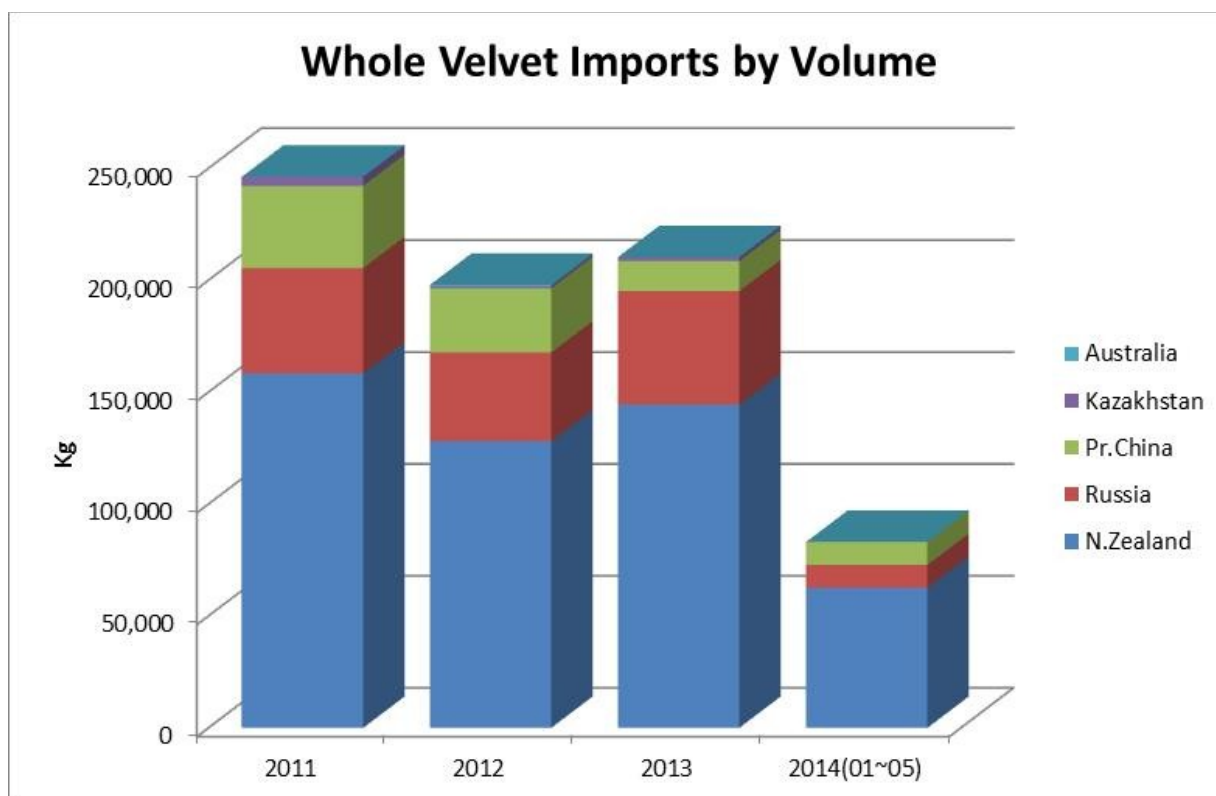
2 Imports

2.1 Velvet Imports

2.1.1 Young Antlers, Whole HS No. 0507.90.1110

Rank	Country	2011			2012			2013			2014(01~05)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	23,497	246,188		22,779	197,907		26,441	210,317		10,388	83,037	
1	N.Zealand	10,946	158,276	69	12,176	128,048	95	15,167	144,391	105	7,012	62,625	112
2	Russia	7,647	47,142	162	6,801	39,615	172	9,052	50,712	178	1,854	10,173	182
3	Pr.China	4,314	36,742	117	3,584	28,731	125	1,936	13,427	144	1,522	10,239	149
4	Kazakhstan	591	4,028	147	165	1,063	155	286	1,786	160	-	-	-
5	Australia	-	-	-	54	450	120	-	1	-	-	-	-
	NZ Share (%)	46.58	64.29		53.45	64.70		57.36	68.65		67.50	75.42	





2.1.2 Young Antlers, Other HS No. 0507.90.1190

Rank	Country	2011			2012			2013			2014(01~05)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	88	80		81	77		80	59		29	20	
1	N.Zealand	47	36	1,306	52	49	1,061	55	27	2,037	18	3	6,000
2	Australia	40	42	952	29	28	1,036	25	32	781	12	17	706
3	U.S.A	0	1	0	0	-	-	-	-	-	0	-	-
4	Pr.China	0	1	0	-	-	-	-	-	-	-	-	-
	NZ Share (%)	53.41	45.00		64.20	63.64		68.75	45.76		62.07	15.00	

2.1.3 Hard Antler Imports HS No. 0507.90.1200

Rank	Country	2011			2012			2013			2014(01~05)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	2,511	224,058		2,282	189,566		1,514	123,833		703	56,637	
1	Russia	2,508	224,035	11	2,229	185,298	12	1,462	119,825	12	666	53,887	12
2	N.Zealand	0	3	0	51	4,251	12	49	4,000	12	36	2,750	13
3	Australia	2	20	100	2	17	118	3	8	375	1	-	-
4	Mongolia	-	-	-	-	-	-	-	-	-	-	-	-
5	Argentina	-	-	-	-	-	-	-	-	-	-	-	-
	NZ Share(%)	0	0		2.23	2.24		3.24	3.23		5.12	4.86	

2.2 Quarantine Statistics of Deer Velvet from Major Exporters

2.2.1 Year to date

2.2.1.1 Velvet

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	MAY12 -APRIL13		MAY13 -APRIL14	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	18,406.3	70,230.9	22,908.1	67,163.9
China	66,273.4	8.5	61,086.4	12.7
Russia	35,613.1	-	37,827.1	1.3
Hong Kong	10,715.8	-	17,065.3	-
Kazakhstan	1,785.5	-	1,785.5	-
Australia	79.2	1.7	51	6.7
USA.	21.1	-	29.3	0.1
Thailand	-	-	-	23
Others	17.6	1.5	16.1	1.1
Total	132,189.6	70,242.5	140,768.9	67,208.6
Overall Total	202,432.1		207,977.5	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.2 Full Year

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	JAN12- DEC 12		JAN 13- DEC 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	20,612.5	66,275.1	24,152.19	74,724.73
China	65,789.8	10.3	54,942.06	10.32
Russia	35,922.7	-	43,139.99	1.3
Hong Kong	9,136.6	-	11,322.04	-
Kazakhstan	1,063.0	-	1,785.45	-
Australia	93.4	-	56.41	6.16
USA.	31.6	-	20.15	0.08
Thailand	-	-	-	23
Others	20.3	0.8	11.75	1.45
Total	132,669.9	66,286.2	135,435.54	74,767.04
Overall Total	198,956.1		210,202.57	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.3 Quarantine Fail- Year to Date

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

COUNTRY	MAY12 -APRIL13		MAY13 -APRIL14	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
China	No COQ 1,470.00 Banned origin 1.20 Drying defect 0.50	Banned origin 8.50	No COQ 790.00 Banned origin 1.00 Drying defect 0.68	Banned origin 11.12 No COQ 1.55
USA.	Banned origin 21.14	-	No COQ 1.27 Banned origin 26.86	Banned origin 0.08
Canada	Banned origin 5.84	-	Banned origin 4.39	Banned origin 0.35
Russia	-	-	-	Banned origin 1.30
Japan	-	Banned origin 1.45	Banned origin 0.35	Banned origin 0.64
New Zealand	-	-	No COQ 2.75	Violation of Hygiene Conditions 1,600.00
Thailand	-	-	-	Banned origin 23.0
Others	-	-	11.4	-
Total	1,498.68	9.95	838.7	1,638.04
Overall Total	1508.63		2,476.74	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

3 Retail Prices of Deer Velvet to Individual Consumers

3.1 Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)

(As of 2014-06)

A number of stores changed their prices for New Zealand dried deer velvet, slightly changing the price margins. The price margin for bungol changed from

KRW 107-108,000 to 110,400-113,500. The price margin for sangdae changed from KRW 80-90,000 to 86,000-86,400. The price margin for jungdae changed from KRW 62-63,000 to 64,400-64,500. There has been no change in the pricing of Russian and Korean dried deer velvet since the last report in March.

Packaging: 2 nyang (75g) retail pack



	New Zealand	Russia	Korea
Bungol (tip)	KRW 110,400-113,500	KRW 142-150,000	KRW 180,000
Sangdae (upper part)	KRW 86,000-86,400	KRW 107-108,000	KRW 130,000
Jungdae (middle part)	KRW 64,400-64,500	KRW 85,500	KRW 110,000

Source: A number of different Korean online shopping malls and Deer Velvet Specialists¹

3.2 Fresh Deer Velvet (Local, online shopping)

(As of 2014-06)

¹ [%85%B9%EC%9A%A9&NVADKWD=%EB%85%B9%EC%9A%A9&NVAR=PL&NVADID=31311460+0DO1003phK9drNC90042](#)

There has been no change to the price of local fresh deer velvet since the last report in March.

Packaging: 5 nyang (200g) retail pack

Bungol (tip)	KRW 170-200,000
Sangdae (upper part)	KRW 130-140,000
Jungdae (middle part)	KRW 95-110,000
Hadae (lower part)	KRW 75-100,000

Source: A number of different Korean online shopping malls and Deer Velvet Specialists²



4 Local Deer Industry

4.1 Korean Deer Farmers Struggle To Comprehend Food Sanitation Laws

The government's crackdown on unsanitary food products is causing confusion amongst deer farmers due to the increased number of laws that need to be followed. For example, under the rules of the Korea Deer Industry Association deer velvet is classified under "livestock antler" and is recognised as a livestock product. However, under the government's Livestock Sanitary Standards, only deer meat is recognised as a livestock product, and deer velvet, a by-product, is not. For deer velvet to be legal, it must first be used in a food product, and can then be recognised under Food Product Sanitary Standards. Therefore, deer farmers cannot sell dried deer velvet directly to consumers. It can only be sold where it will be used to make a food or medicine product.

According to the Korea Deer Industry Association many farmers are not aware of the differences, and thus risk unknowingly breaking the law. The Association

²http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdno=205>ype=1&ctpose=AAC

suggest that there needs to be a grace period for farmers to get used to the stricter laws.

Source: Nongmin News June 4th 2014³

4.2 Enzychem Life Sciences Develops Medicine Made with Deer Velvet Extract

Enzychem Life Sciences has developed a new medicine, called PLAG, by extracting and compounding a monoculture in deer velvet. This medicine is effective at curing thrombocytopenia, or low blood platelet count.

[<http://enzychem.com/>]

Interesting – worth a follow-up?

Source: Maeil Kyungjae News May 22nd 2014⁴

4.3 The Benefits of Spring Deer Velvet

With the increasing cost of deer velvet, many people and companies in Korea have turned to cheaper hard deer antler. Kim Nam-seon, the head of large medical center, Yeongdong Traditional Medicine, explains that this is not a good idea, as it has been medically proven that hard deer antler has much fewer health benefits than deer velvet. There have also been situations where hard deer antler is mixed with illegal products like reindeer antler, calling it's authenticity into question. For these reasons, Kim recommends that people should strive to use deer velvet rather than hard deer antler.

Source: Money Week May 22nd 2014⁵

4.4 Deer Antler Product Recalled Due to Illegal Reindeer Antler Use

"Handong Hard Deer Antler", a product produced by Handong Herb, has been recalled and had further sales suspended after it was found that the product was using banned reindeer antler. Reindeer antler (순록 뿔) is considered a different variety of antler to hard deer antler (녹각) and has not had it's safety or effectiveness proven. It has therefore been banned from use in food and medicine products. On the 12th of July, the Korea Food and Drug Administration reported that Handong Herb had been importing reindeer antler and then mixing

³ http://www.nongmin.com/article/ar_detail.htm?ar_id=232843&subMenu=dsearch&key=녹용

⁴ <http://vip.mk.co.kr/news/view/21/20/1161133.html>

⁵ <http://www.moneyweek.co.kr/news/mwView.php?type=1&no=2014052123278057201&outlink=1>

it with hard deer antler or using it to secretly replace hard deer antler in regular hard deer antler food and medicine products.



Source: Akom News May 12th 2014⁶

4.5 New Techniques Developed to Invigorate the Deer Velvet Market

Systematic processing techniques have been developed to help increase the consumption of local deer velvet and invigorate the market.

Over 3 years, with more than US\$500,000 invested, teams from Konkuk University and Semyeong University carried out research in three steps:

- 1) Maintenance of deer velvet.
- 2) Processing techniques for the commercialisation of deer velvet.
- 3) Improving the effectiveness and functionality of the base deer velvet product.

A representative of Konkuk University states that with 85% of Korea's deer velvet imported, there is urgent need for solutions to improve the local deer velvet industry.

Source: Deer Times May 1st 2014

4.6 Buyeo Agricultural Technology Centre Invests in Artificial Insemination

The Deer Velvet Technology Centre in Buyeo is investing in artificial insemination industries for deer, with the goal of increasing the production of high quality deer velvet.

⁶http://www.ekomnews.com/subpage/search_detail.php?code=A001&uid=91172&page=/subpage/search.php&nowpage=1&search_word=%BB%E7%BD%BF&search_key=all&sadop_date=2004-03-02&eadop_date=2014-06-20

Source: Joongdo Times April 22nd 2014⁷

4.7 Shinheung Deer Farm Releases Deer Velvet and Ginseng Product

Shinheung Deer Farm released a new product made with Korean deer velvet and ginseng that was expected to sell well as a present for Parent's day.

- Health drink made by boiling together 400g of Korean fresh deer velvet and 300g of six year old red ginseng.
- Other ingredients include jujube dates, Korean raspberries, foxglove and a number of different spices.
- The box contains 60 bags of the mixture, each 100ml.
- It is recommended to drink two bags each day, one in the morning, and one in the afternoon.⁸



Source: Newsis April 16th 2014⁹

4.8 7th Annual 'Deer Day' Event

On the 5th of April, the Korea Deer Association held the 7th annual 'Deer Day'. The main event was set up at the foot of Gyeryeong Mountain, in central Korea, where the association were able to attract more than 200 hikers. They tried 100% Korean deer velvet tea, and were given some deer velvet products.

⁷ http://www.joongdo.co.kr/jsp/article/article_view.jsp?pq=201404210048

⁸ http://www.bestdeer.com/shop/goods/goods_view.php?&goodsno=3&category=004

⁹ http://www.newsis.com/ar_detail/view.html?ar_id=NISX20140416_0012859134&cID=10408

The association were quoted as saying "'Deer Day' is used to try and promote Korean produced deer velvet and products with local deer velvet, and increase their share of the deer velvet industry." Currently, according to the association, over 80% of the deer velvet in circulation in Korea is from overseas.



Source: Nongmin Newspaper April 9th 2014¹⁰

4.9 Illegal Distribution of Imported Fresh Deer Velvet

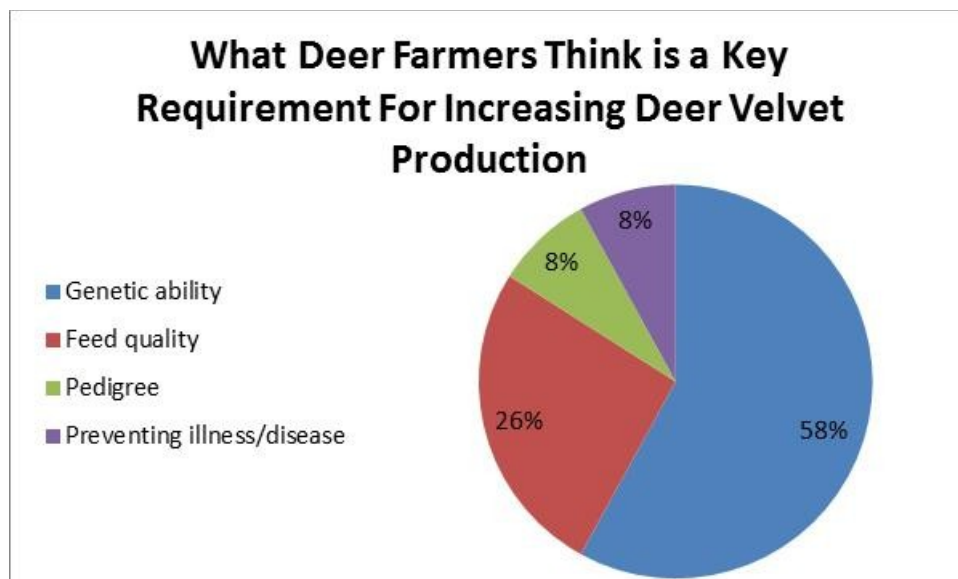
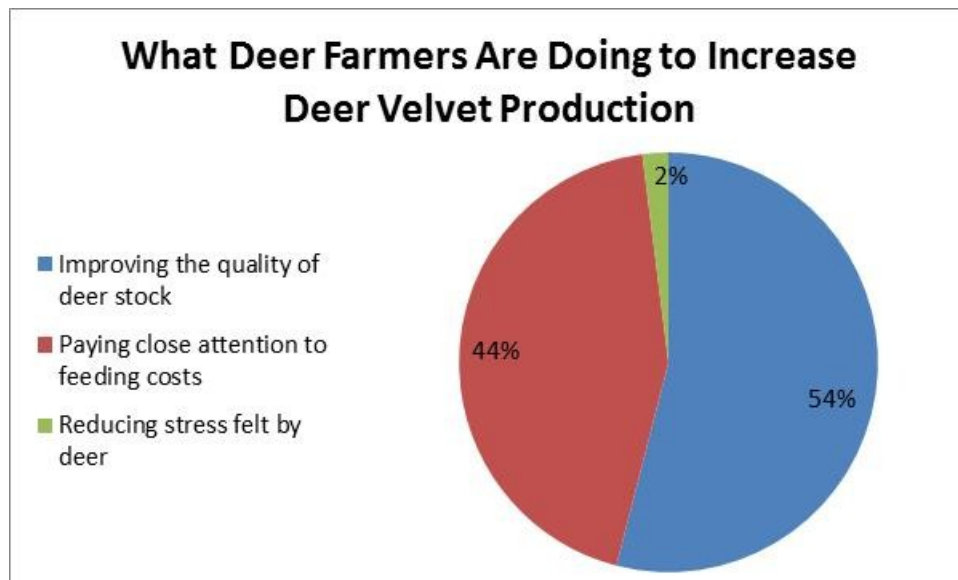
There is great concern within the local deer industry about the illegal distribution of imported fresh deer velvet. The Korea Deer Times claims that every year, in preparation for the coming Summer season (where oriental medicine is very popular) fresh velvet is imported from New Zealand around March or April. But this is before the first local deer velvet comes onto the market. Local supply is lacking so a lot of imported deer velvet ends up getting distributed illegally. It is suggested that this needs to be watched more carefully.

Source: Deer Times April 1st 2014

¹⁰ http://www.nongmin.com/article/ar_detail.htm?ar_id=230664&subMenu=articletotal

4.10 More Than Half of Deer Farmers Think That Genetics Is Important for Increasing Deer Velvet Production

A survey was carried out with 50 deer farmers, who were asked (1) what they are doing to increase deer velvet production, and (2) what they think is a key requirement of increasing deer velvet production.



Source: Deer Times April 1st 2014